Ashgrove Capital Partners Fund III · Investment Committee

Fernhill Foods

Final Investment Committee Memorandum

Prepared by the deal team: Alex Chen (MD), Priya Raman (VP), Sam Ortiz (Associate)
Operating partners consulted: Jordan Lee, Casey Nguyen, Morgan Blake

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1. Executive summary and recommendation

The deal team recommends that the Investment Committee approve the acquisition of 100% of Fernhill Foods ("Fernhill" or "the Company"), a specialty snack maker headquartered in Dayton, Ohio, for an enterprise value of $400 million, or 10.0x LTM adjusted EBITDA of $40.0 million.

Fernhill makes kettle-style crisps, pretzel bites, and seasoned nuts under the Fernhill and Hollow Creek brands. It has grown net sales at 7% a year for five years with no price increase since 2023, almost no club or e-commerce presence, and a procurement function that has not re-bid its major inputs in four years.

Transaction terms

Item	Value
Enterprise value	$400.0M
LTM adjusted EBITDA (QoE)	$40.0M
Entry multiple	10.0x
Senior debt (5.0x)	$200.0M
Equity from Fund III	$215.0M
Target hold	5 years

Underwriting case

We underwrite EBITDA of **$65.0 million in year 5**, a **$25.0 million** improvement from entry, delivered through five value creation levers set out on page 4. At a 10.0x exit multiple this returns 2.6x gross MOIC and a 22% gross IRR.

2. Company overview

Fernhill had FY25 net sales of $310 million and adjusted EBITDA of $40.0 million (12.9% margin). The Company runs one plant in Dayton with five production lines and employs about 900 people, roughly 650 of them hourly.

Sales by channel, FY25

Channel	Share of net sales	Category average
Grocery	78%	61%
Mass	15%	17%
Club	0%	14%
E-commerce	3%	6%
Other	4%	2%

The top 15 customers are 71% of net sales; the two largest grocery customers are 29%. The Company carries 1,400 SKUs bought from more than 60 suppliers. Premium SKUs are 18% of sales and earn gross margin 11 points above the core range.

Management

Chris Patel (CEO, 6 years) is strong commercially and will stay. Taylor Brooks (CFO, 9 years) runs a small team. See key risks on page 9.

3. Investment thesis and EBITDA bridge

Our thesis is that Fernhill is an under-managed brand with clear, self-help levers. We do not underwrite any category growth above 2% or any multiple expansion.

EBITDA bridge, entry to year 5 (run-rate, $M)

Lever	Run-rate EBITDA impact	Basis
Entry EBITDA (LTM, QoE adjusted)	40.0	
Procurement savings	+7.0	150 bps of COGS: direct materials re-bid (4.5), packaging and freight (2.5)
Club and e-commerce channel expansion	+6.0	Club launch (3.5), e-commerce scale-up (2.5); see page 5
Pricing and mix	+5.0	4% list increase (3.0), premium mix shift (2.0); see page 6
Plant efficiency	+4.0	OEE from 61% to 72% (2.5), labor scheduling (1.5); see page 7
Add-on M&A	+3.0	One add-on at about 7x; see page 8
Underwritten exit EBITDA, year 5	**65.0**	

Procurement is the most certain lever: the spend cube built in diligence shows the top 20 SKUs are 62% of direct materials spend and none has been competitively bid since 2021. We expect half of the procurement value inside 12 months.

The plan also needs a finance leadership transition (no direct EBITDA). The finance function needs to be built out to support a sale process; see page 9.

4. Growth levers: club and e-commerce

Club

Fernhill has no club distribution against a 14% category average. In diligence, buyers at two national club chains said they would take a test of two to three SKUs in a club pack. We assume a 400-door regional test in year 1 and national distribution in about 1,200 doors by year 2, worth $3.5 million of run-rate EBITDA.

E-commerce

E-commerce is 3% of sales against a 6% category average and 9% for the best-run peers. The Amazon storefront has weak content and no advertising plan, and there is no direct-to-consumer offer. Relaunching Amazon, adding a DTC subscription box, and scaling retail media at Walmart and Target takes e-commerce to 8% of sales and adds $2.5 million.

Key KPIs

- Club doors live: 0 today, 1,200 target
- E-commerce net sales: $0.6M a month today, $1.5M target

5. Pricing and mix

Fernhill has not taken list price since 2023, while branded peers took 6% to 9% over the same period. Our elasticity work suggests a 4% list increase holds volume on about 70% of SKUs. A 4% increase with the top 15 customers is worth $3.0 million of run-rate EBITDA after expected trade spend.

The two largest grocery customers are the main risk: both have resisted increases from other suppliers this year and may ask for promotional funding in return.

Premium mix

Premium SKUs (Hollow Creek reserve range and seasoned nuts) carry 11 points more gross margin. Growing them from 18% to 26% of sales through four launches and a shelf reset adds $2.0 million.

Key KPIs

- Net price realization: target 4.0%
- Premium SKU share of sales: 18% today, 26% target

6. Operations: plant efficiency

Operational diligence benchmarked overall equipment effectiveness (OEE) at the Dayton plant at 61%, about 11 points below best-in-class snack plants. Line 3, the oldest kettle line, runs at 52%. Changeovers take 95 minutes on average.

- **Line efficiency ($2.5M):** retrofit line 3 with a new continuous fryer and seasoning drum (capex about $1.6 to $1.8 million) and cut changeover time by 40%.
- **Labor scheduling ($1.5M):** overtime runs at 14% of hours because the plant runs three fixed shifts regardless of demand. Moving to demand-based scheduling would reduce temporary labor and requires realigning roles, including headcount reductions of about 40 positions. This must be handled with care and is not yet discussed with management.

Key KPIs

- OEE, all lines: 61% today, 72% target
- Overtime as a share of hours: 14% today, 8% target

7. Add-on strategy

The specialty snack category has dozens of regional brands with $5 million to $40 million of sales that trade at 6x to 8x EBITDA, below the platform multiple. Fernhill's plant has spare capacity on two lines, so an add-on can be consolidated into Dayton.

We underwrite one add-on with $3.0 million of EBITDA (including synergies) acquired at about 7x within 18 months of close. The deal team has an early list of 140 brands; a regional kettle chip brand is the most attractive fit. Target names are confidential.

Key KPIs

- Qualified add-on targets in pipeline: target 25

8. Key risks and mitigants

Risk	Mitigant
Customer concentration: top two customers are 29% of sales and may resist pricing.	Price increase phased; elasticity model by customer; club and e-commerce reduce concentration.
Commodity inflation in potatoes, oils, and nuts.	Procurement program adds index-linked contracts and second sources.
Finance leadership. The QoE found a 12-day monthly close and a thin FP&A function. The current CFO is not expected to lead a sale process.	Hire a corporate controller and FP&A lead in the first 100 days; plan CFO succession ahead of the exit process. This is confidential to the deal team.
Execution capacity of a lean management team.	Ashgrove operating partners assigned to each lever.

Recommendation

Approve the transaction on the terms on page 2.